

Network Effects Map

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Direct, indirect and data effects

PROFESSIONAL DEFINITION

A Network Effects Map distinguishes the types of network effect — direct, indirect (two-sided), and data — that can make a product more valuable as more people use it.

WHO DEVELOPED IT

Grounded in platform-economics theory, associated with scholars such as Katz and Shapiro and the platform work of Parker, Van Alstyne and Choudary.

WHY IT WAS DEVELOPED

It was developed to identify whether and how a product benefits from network effects, a key source of durable advantage.

FIGURE 1 · NETWORK EFFECTS MAP

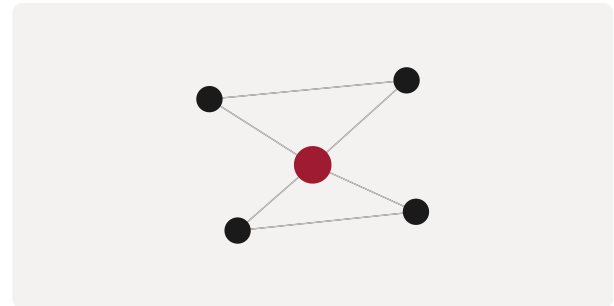


Figure 1. A schematic of the Network Effects Map as applied in BARBM312 (illustrative).

HOW IT IS USED

The product is examined for each type of effect; strategy strengthens the effects that compound advantage.

WHEN IT IS USED

When assessing platform and AI-product defensibility.

BY WHOM IT IS USED

Founders, product and strategy leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It distinguishes types of network effect rather than treating them as one, clarifying where compounding advantage actually arises.

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Product-Led Growth · Slibrary 26

T2D3 Trajectory · Slibrary 26

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SOURCES (HARVARD REFERENCING STYLE)

Katz, M.L. and Shapiro, C. (1985) 'Network externalities, competition, and compatibility', American Economic Review, 75(3).
Parker, G., Van Alstyne, M. and Choudary, S.P. (2016) Platform Revolution. New York: Norton.